



SHANKAR SHARMA
FOUNDER, GQUANT

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and weak earnings. These were exacerbated by global factors such as trade tensions, strong U.S. dollar (leading to outflows from emerging markets) and overall uncertainty. In this, mid and small-caps have been hit the worst. The reason is simple: they had rallied more much sharply and attracted significant investor interest. The concerns over overvaluation and potential correction were being aired for some time but these come to a head when S. Naren, CIO, ICICI Prudential Mutual Fund, issued a warning in February 2025. Naren cautioned investors against investing in overpriced stocks, even via SIPs, unless they were willing to continue for at least 20 years. He pointed to 1994-2002 and 2006-2013 periods when mid-cap SIPs failed to generate returns. As if on a cue, investors pressed the brakes—mid-cap funds saw a 34% decline in net inflows from ₹5,148 crore in January to ₹3,407 crore

in February while small-cap funds recorded a 35% drop from ₹5,721 crore in January to ₹3,722 crore in February.

Another major casualty has been sectoral and thematic funds, the standout performers of 2024, when they got inflows of over ₹1.4 lakh crore. These funds focus on specific industries or investment themes and typically get massive attention during bull markets. In February, they saw net inflows of ₹5,711 crore, a steep 37% drop from ₹9,017 crore in January. This signals that investors may be shifting from risky theme-based investing to more stable strategies.

The reversal of the trend will depend on the answer to one question. How long will this downturn continue? “I do not see meaningful returns for the next three-five years. In fact, returns could be lower than a bank fixed deposit or even negative until 2029-30,” market expert Shankar Sharma, the founder of GQuant, told BT. In contrast, Samir Arora, the founder of Helios Capital, says the pain may not last as long. He says the bleeding could end within one-two months, though a full recovery may take longer. “The bleeding may end in one or two months. But then the repairing of foreign and domestic confidence might take another three-four months. So if we can get away in 2025 by recovering some of what we have lost this year, that would be good,” he says.

It's tough to tell. From a valuation standpoint, the market has come off highs, but it is still trading above historical averages. According to a Motilal Oswal report, India's market capitalisation-to-GDP ratio is 120% of FY25E GDP, compared to the long-term average of 85%. But the Nifty's 12-month trailing P/E ratio is 21.2x, below the historical average of 22.7x, but still not at deep-discount levels. The last Sensex high was 85,978.25 in September 2024. The top was reached around the time China announced a massive economic stimulus. “Since then, foreign investors have been fleeing the Indian stock market. It has been six months, but the Chinese economy hasn't shown any strong signs of revival. Its growth is around 5%, which isn't good enough for maintaining investor interest. Inflation is falling globally. Interest rate cuts are on the cards. In the next few months, the impact of the repo rate cut will be seen on business loans, impacting private investment too. Bear market sentiment can't stay for long in India,” says VP Singh, Program Director—PGDM, Professor of Economics, Great Lakes Institute of Management, Gurgaon.

In a nutshell, the fate of SIPs will depend on where markets go from here. If the correction deepens, investors may hold off on new investments and even redeem existing ones. But if they stabilise, disciplined investors who have stayed put through the peaks and troughs could benefit immensely in the long run.